Market Summary

Data Through January 31, 2026

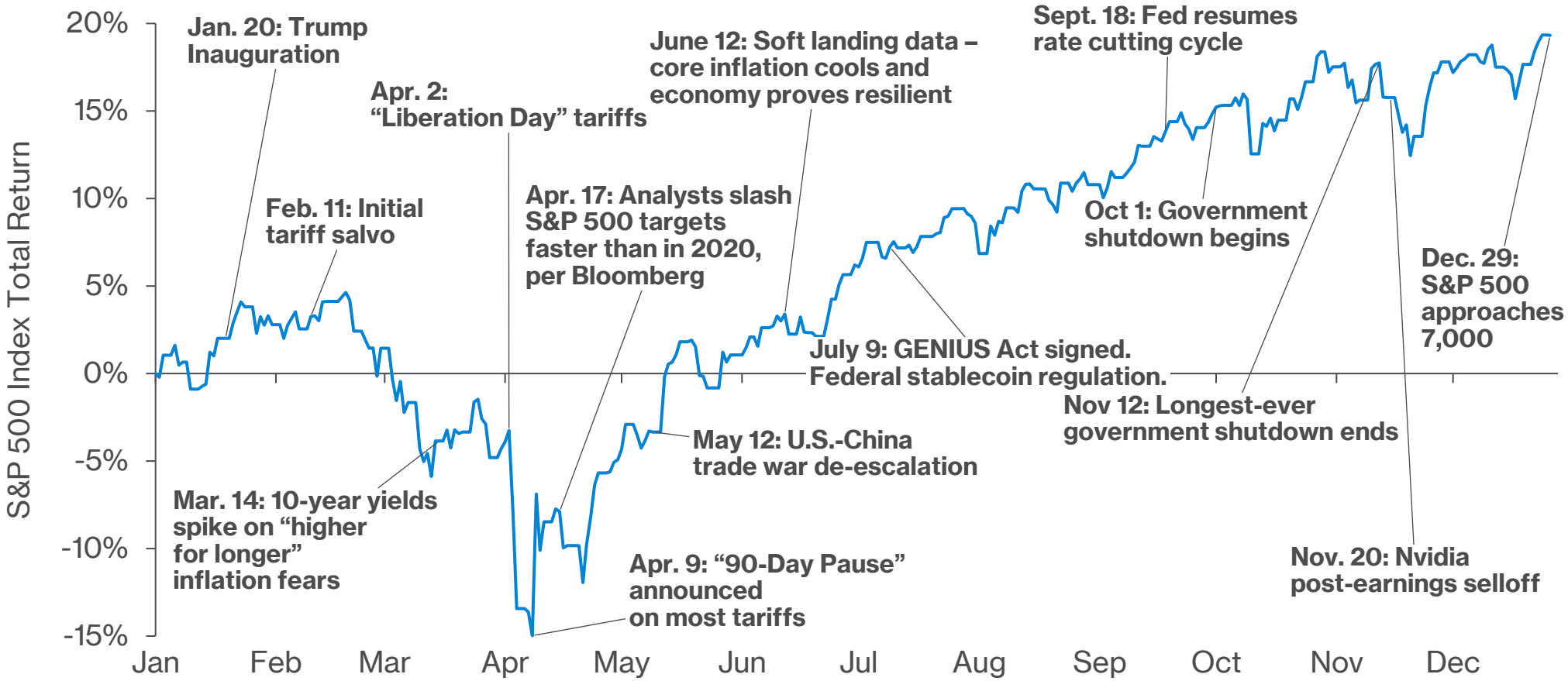
FIXED INCOME	LAST 15 YEARS	LAST 10 YEARS	LAST 5 YEARS	LAST 12 MONTHS	YEAR TO DATE	LAST 3 MONTHS
Bloomberg Municipal 1-10 Years	*2.65%*	*2.07%*	*1.33%*	*5.45%*	*0.99%*	*1.51%*
Bloomberg US Aggregate	*2.42%*	*1.88%*	*(0.20%)*	*6.85%*	*0.11%*	*0.58%*
Bloomberg US Corporate High Yield	*5.91%*	*6.75%*	*4.54%*	*7.70%*	*0.51%*	*1.66%*
DOMESTIC EQUITIES						
S&P 500	*13.99%*	*15.56%*	*14.98%*	*16.35%*	*1.45%*	*1.76%*
Russell 1000	*13.78%*	*15.37%*	*14.08%*	*15.31%*	*1.38%*	*1.63%*
Russell 1000 Value	*10.93%*	*11.60%*	*12.52%*	*15.83%*	*4.56%*	*8.07%*
Russell 1000 Growth	*16.31%*	*18.71%*	*15.32%*	*15.42%*	*(0.72%)*	*(3.12%)*
Russell 2000	*9.87%*	*11.20%*	*6.15%*	*15.81%*	*5.35%*	*5.75%*
Russell 2000 Value	*9.20%*	*10.75%*	*9.20%*	*17.90%*	*6.86%*	*10.06%*
Russell 2000 Growth	*10.26%*	*11.26%*	*3.01%*	*13.91%*	*3.98%*	*1.94%*
INTERNATIONAL EQUITIES						
MSCI EAFE	*6.83%*	*9.55%*	*10.27%*	*31.18%*	*5.22%*	*9.05%*
MSCI EAFE (Local Currency)	*8.46%*	*9.59%*	*12.25%*	*18.75%*	*3.22%*	*5.94%*
MSCI All Country World Ex US	*6.24%*	*9.81%*	*9.11%*	*34.87%*	*5.98%*	*9.13%*
MSCI Emerging Markets	*4.59%*	*10.07%*	*5.34%*	*42.84%*	*8.85%*	*9.43%*
MSCI EAFE Small Cap	*7.44%*	*8.98%*	*6.90%*	*34.82%*	*5.79%*	*9.52%*
SAMPLE DIVERSIFIED PORTFOLIOS						
90% MSCI ACWI / 10% Bloomberg 1-10 Yr Muni Bond Index	*9.27%*	*11.74%*	*10.91%*	*20.20%*	*2.77%*	*3.77%*
80% MSCI ACWI / 20% Bloomberg 1-10 Yr Muni Bond Index	*8.60%*	*10.72%*	*9.87%*	*18.54%*	*2.57%*	*3.52%*
70% MSCI ACWI / 30% Bloomberg 1-10 Yr Muni Bond Index	*7.92%*	*9.69%*	*8.82%*	*16.88%*	*2.37%*	*3.27%*
60% MSCI ACWI / 40% Bloomberg 1-10 Yr Muni Bond Index	*7.22%*	*8.64%*	*7.76%*	*15.23%*	*2.17%*	*3.02%*
50% MSCI ACWI / 50% Bloomberg 1-10 Yr Muni Bond Index	*6.50%*	*7.58%*	*6.70%*	*13.58%*	*1.97%*	*2.76%*

Looking Back at 2025

The S&P 500 sidestepped headline risks during the year

- Despite historic trade policy shifts in April and a record-breaking 43-day government shutdown in the second half of the year, the **S&P 500 logged 38 all-time closing highs in 2025**.
- Bloomberg-surveyed **strategists projected low-single-digit gains for 2025** following tariff-related concerns in April, yet U.S. equities finished the year with returns far exceeding those expectations.

S&P 500 INDEX RETURN AND HEADLINES IN 2025



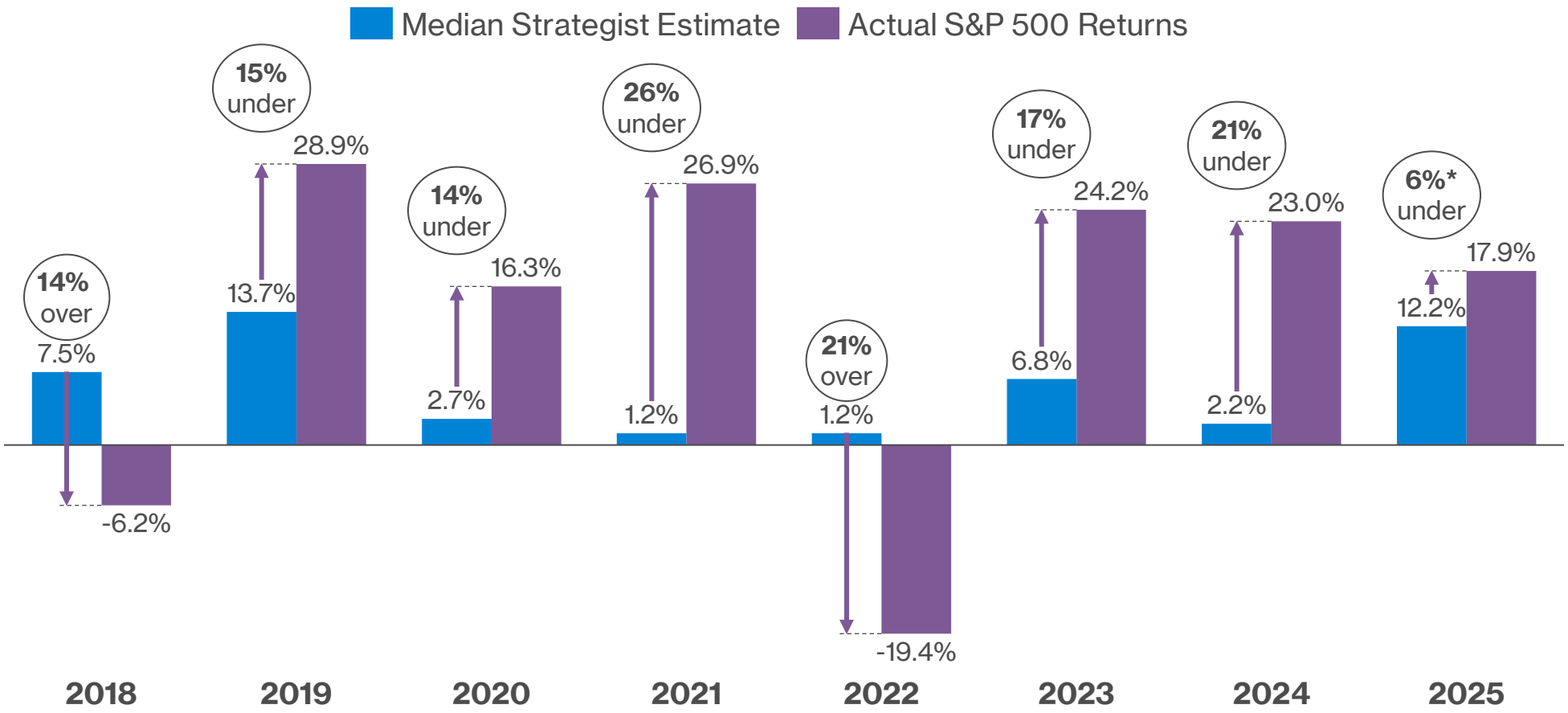
Sources: Morningstar. New events are a compilation of reporting from Bloomberg LP (including "Stock Faithful Slash S&P Targets at Faster Pace Than in Pandemic," April 17, 2025), CNBC, Reuters, The Wall Street Journal, and official press releases from the Federal Reserve and The White House.

Why Annual Market Forecasts Don't Belong in Long-Term Plans

Forecast accuracy breaks down when it matters most

- Consensus forecasts have historically proved overly pessimistic in up markets and missed downturns altogether, failing to foresee 2022's double-digit decline and growing cautious during the strong 2023–25 recovery.
- Predictions have missed actual returns by roughly 16% per year since 2018, underscoring that while they arrive annually during this time of year and can move emotions, they're better treated as noise than signal.

CONSENSUS S&P 500 ESTIMATES VS. ACTUAL RETURNS (2018-2025)

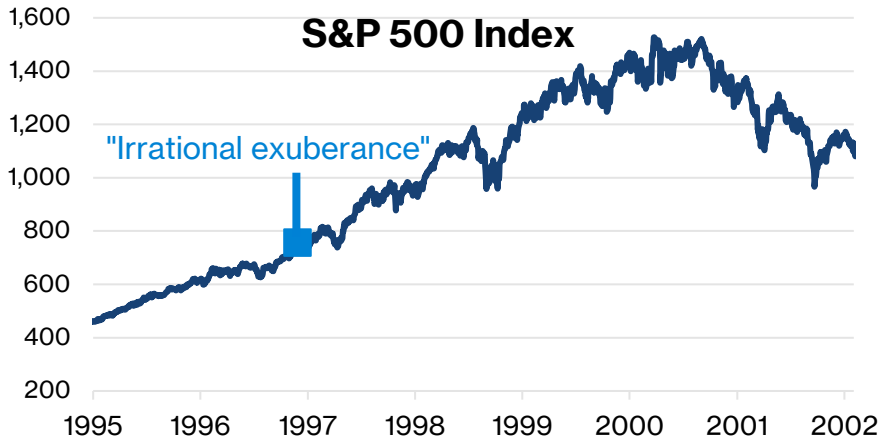


Sources: Avantis, Wall Street strategist surveys as reported by Yahoo Finance, New York Times, Investing.com, Forbes, and Business Insider (2018–2024).
**After April's Liberation Day tariffs, strategists reduced 2025 return expectations to a ~9% median, despite the S&P 500 finishing up ~18%.*

Bubble Guide

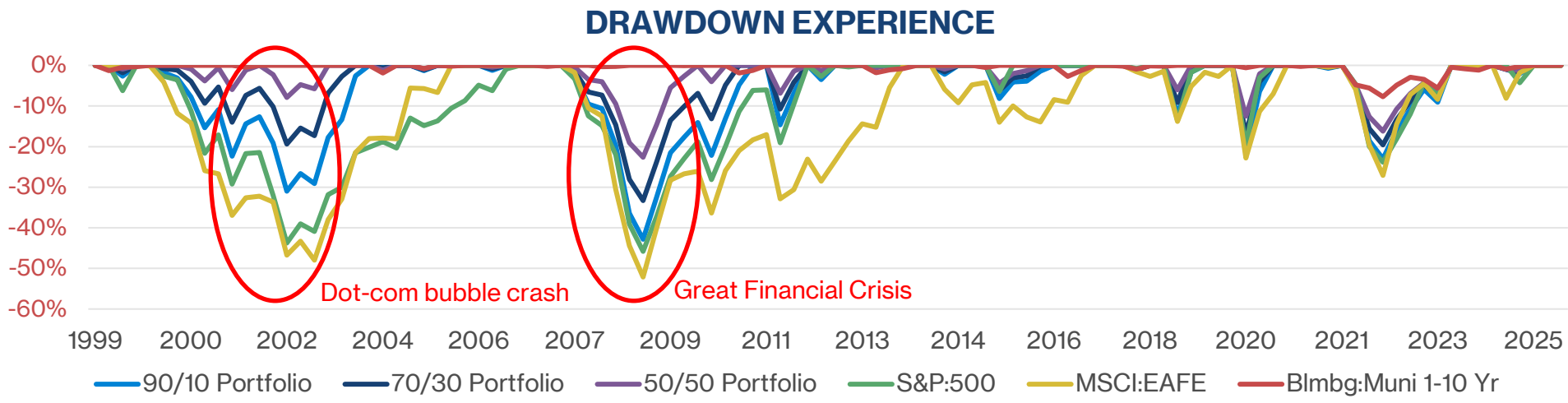
Preparation and process fare better than impulse

- **Bubble chatter is rising, but timing the market is a losing game** – History shows that bubble warnings often arrive years early and investors who try to jump in and out frequently miss major gains and the eventual recovery.
  - Former Fed Chairman Alan Greenspan's famous use of the term "irrational exuberance" when describing investors speculative mania during dot-com occurred years before the market peak.



Source: FactSet

- **Diversification is the Best Defense when Enthusiasm becomes Concentrated** – while it can't prevent downturns, spreading exposure across regions, sectors, and asset classes helps reduce the risk of one overheated area dragging down the entire portfolio.

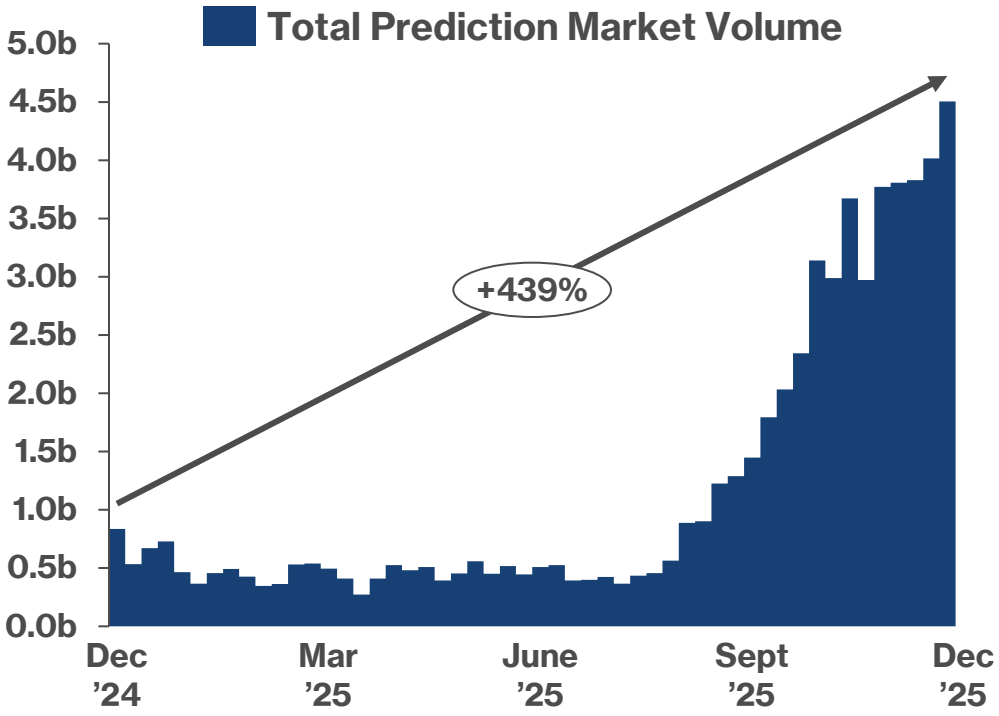


- **Investor Behavior Matters More Than Bubble Predictions** – Periods of euphoria amplify biases like fear of missing out and overconfidence. However, disciplined investors stick to their long-term plan, rebalance as needed, and avoid emotional decision-making

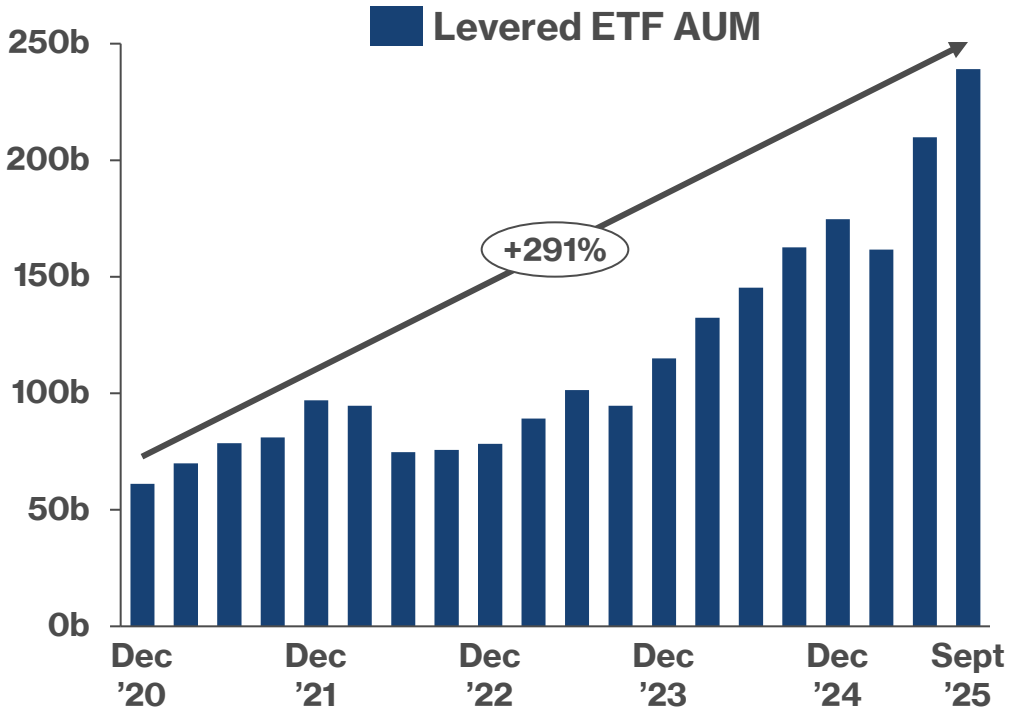
Risk Management

Resist the temptation to take unnecessary risks

- Broad equity markets have posted three consecutive years of strong returns and economic fears haven't materialized.
- Investors often adjust behavior based on perceived safety – taking on more risk when markets feel stable or protected
- History has shown numerous episodes of speculation, excessive leverage, and cultural forces that fuel risk-taking.



Sources: Dune, Bloomberg. Weekly Prediction Market Notional Volume



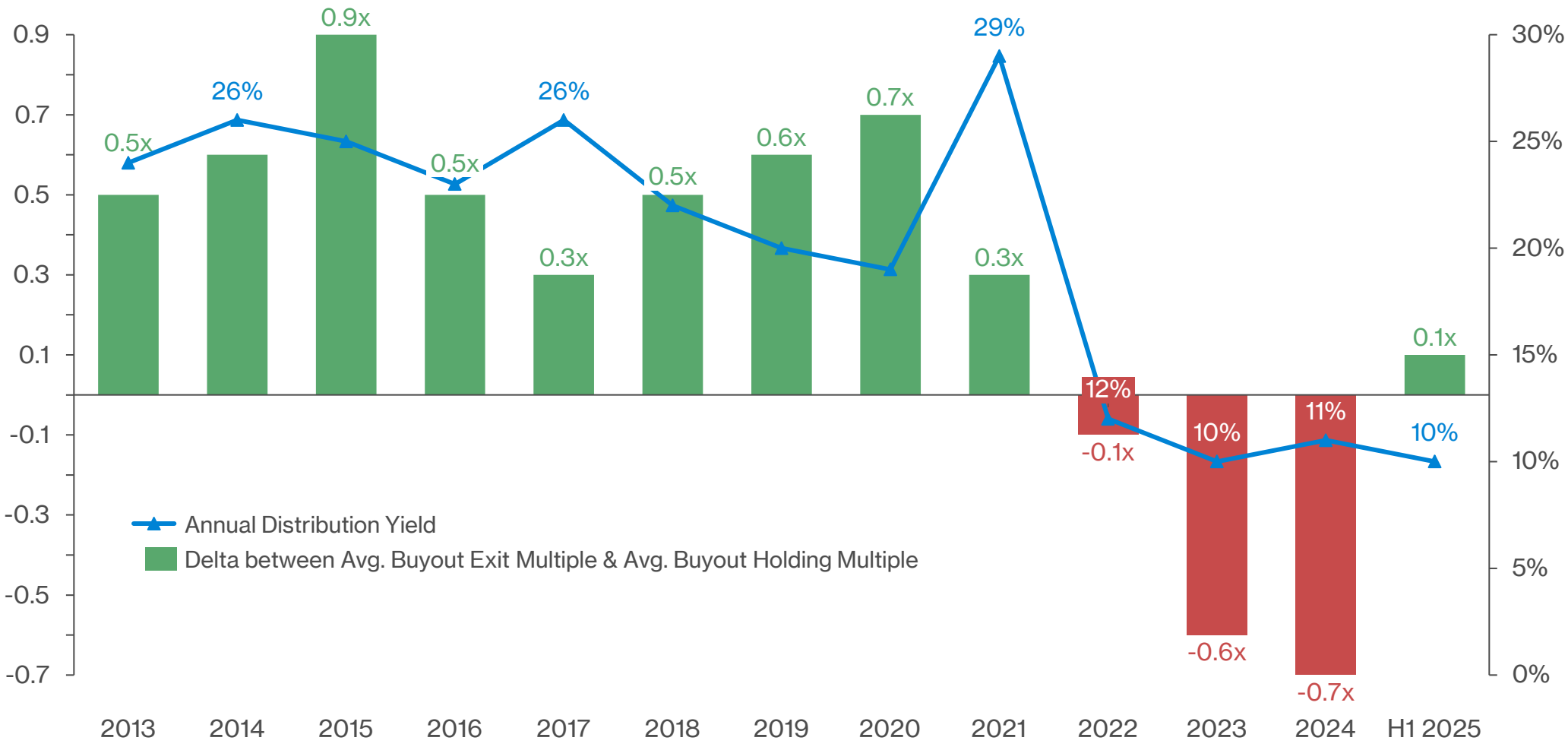
Sources: Bloomberg. Assets under management in Levered ETFs at quarter's end.

- Managing and maintaining the desired risk profile of a portfolio should be followed regardless of market conditions.
- Take the opportunity to rebalance your portfolio and consider a smoothing spending policy to weather market volatility.

Private Markets Update

Is the exit drought ending?

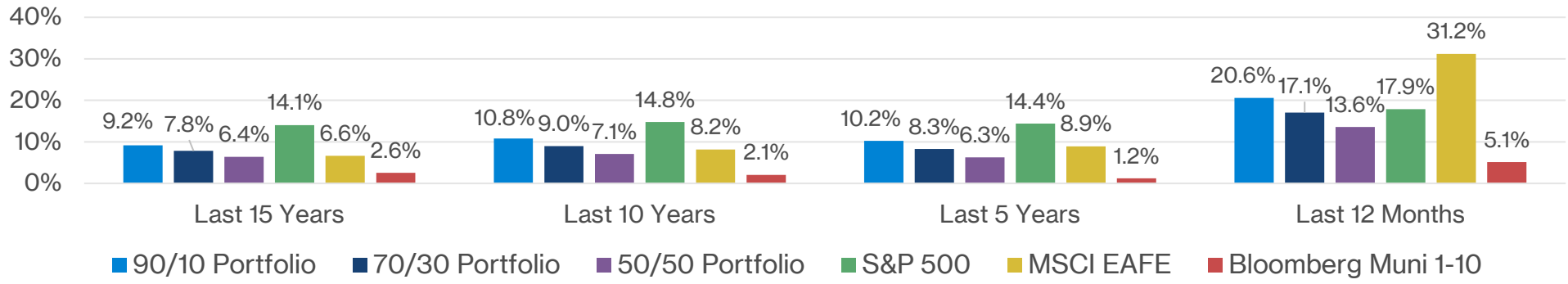
- In more liquid markets, the average exit multiple is higher than the average holding multiple. This was inverted during 2022-2024 as exits drew lower multiples than many GPs marked investments. However, 2025 has seen this trend reversed as a likely result of secondary transactions driving higher exit multiples.



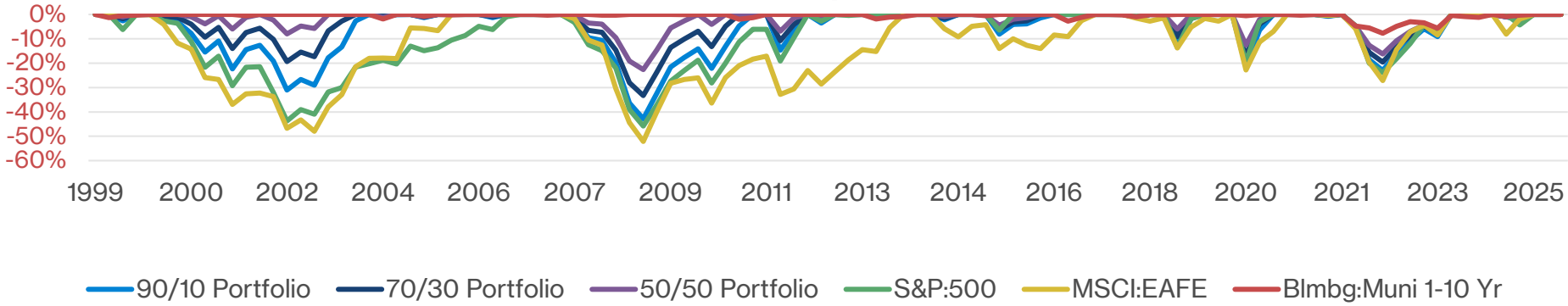
Source: Arctos Insights; A Tale of Two Exit Regimes

Diversified Portfolio Performance

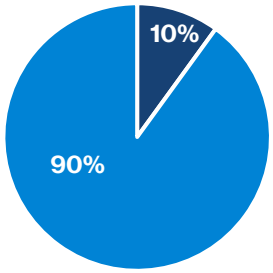
Returns Of Sample Diversified Portfolios Vs. Indexes As Of 12/31/2025



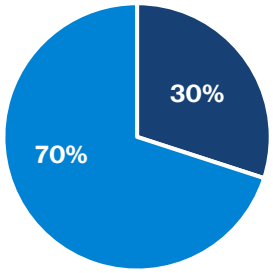
Drawdown Experience



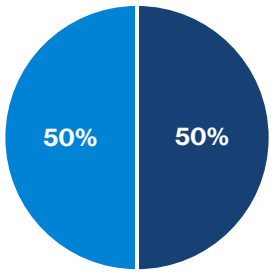
90/10 Portfolio



70/30 Portfolio



50/50 Portfolio



Global Equity Bonds

**Global Equity and Bonds represented by the MSCI All Country World Index and Bloomberg Municipal 1-10 Year Blend Index, respectively.*

Having a Correct (Time) Frame of Mind

ROLLING 10-YEAR RETURNS FOR VARIOUS ASSESS CLASSES & DIVERSIFIED PORTFOLIO

- Looking at asset class leaders and laggards over a rolling 10-year timeframe shows a different outcome for the popular S&P 500 market proxy. Each of the columns below represents average annual returns over 10-year timeframes to highlight a longer-term view of performance. Investors with longer horizons can appreciate the performance and volatility-reduction benefits of a diversified allocation.

2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
MLPs 8.0%									
Russell 2000 7.1%	Russell 2000 8.7%								
S&P 500 7.0%	S&P 500 8.5%	S&P 500 13.1%	S&P 500 13.6%	S&P 500 13.9%	S&P 500 16.6%	S&P 500 12.6%	S&P 500 12.0%	S&P 500 13.1%	S&P 500 14.8%
Diversified Portfolio 5.0%	MLPs 6.1%	Russell 2000 12.0%	Russell 2000 11.8%	Russell 2000 11.2%	Russell 2000 13.2%	Russell 2000 9.0%	Russell 2000 7.2%	Russell 2000 7.8%	Russell 2000 9.6%
Muni Bonds 3.7%	Diversified Portfolio 5.8%	Global REITs 10.5%	Global REITs 9.3%	Diversified Portfolio 8.1%	MSCI EAFE SC 10.8%	Diversified Portfolio 6.8%	Diversified Portfolio 6.7%	Diversified Portfolio 7.2%	Diversified Portfolio 9.0%
MSCI EAFE SC 3.0%	MSCI EAFE SC 5.8%	MSCI EAFE SC 10.5%	MSCI EAFE SC 8.7%	MSCI EAFE SC 7.9%	Global REITs 9.7%	MSCI EAFE SC 6.2%	Global REITs 5.4%	MSCI EAFE SC 5.5%	MLPs 8.8%
Global REITs 2.2%	Global REITs 4.1%	MLPs 9.6%	Diversified Portfolio 8.2%	Global REITs 6.3%	Diversified Portfolio 9.6%	MSCI EAFE 4.7%	MSCI EAFE SC 4.8%	MSCI EAFE 5.2%	Emerging Markets 8.4%
Emerging Markets 1.8%	Muni Bonds 3.6%	Diversified Portfolio 8.7%	MSCI EAFE 5.5%	MSCI EAFE 5.5%	MSCI EAFE 8.0%	Global REITs 4.5%	MSCI EAFE 4.3%	MLPs 3.7%	MSCI EAFE 8.2%
MSCI EAFE 0.8%	MSCI EAFE 1.9%	Emerging Markets 8.0%	MLPs 4.2%	Muni Bonds 3.3%	Emerging Markets 5.5%	MLPs 2.0%	Emerging Markets 2.7%	Emerging Markets 3.6%	MSCI EAFE SC 7.5%
Commodities -5.6%	Emerging Markets 1.7%	MSCI EAFE 6.3%	Emerging Markets 3.7%	Emerging Markets 3.6%	Muni Bonds 2.6%	Muni Bonds 1.7%	Muni Bonds 2.2%	Global REITs 3.5%	Commodities 5.7%
	Commodities -6.8%	Muni Bonds 3.3%	Muni Bonds 3.2%	MLPs -2.3%	MLPs -0.3%	Emerging Markets 1.4%	MLPs 1.9%	Muni Bonds 1.8%	Global REITs 4.3%
		Commodities -3.8%	Commodities -4.7%	Commodities -6.5%	Commodities -2.9%	Commodities -1.3%	Commodities -1.1%	Commodities 1.3%	Muni Bonds 2.1%

Source: Morningstar, data through 12/31/25. Diversified Portfolio is composed of 70% Equity-30% Fixed Income.